

stance, the freebies offered by the Congress in Karnataka are seen to have contributed to its win, while the BJP's Ladli Behna Yojana is seen to have given it the edge in Madhya Pradesh.

52 |

WHILE ELECTION freebies are not a new trend in Indian elections, the issue has become hotly debated in recent months. There have also been concerns raised on such largesse in recent years as the central government and the states try to become more fiscally responsible, while the finances of many states remain under pressure after the Covid-19 pandemic. There is also a growing realisation that the cost of these schemes has to be eventually borne by the voter, often in the form of higher taxes.

Union Finance Minister Nirmala Sitharaman had raised the issue at a recent election rally in Telangana. She noted that freebies are being announced across many states without taking their financial feasibility into account. "False promises are being made and political parties promote them but when it comes to the allocation of funds, they backtrack," she had underlined. Earlier, even Chief Election Commissioner Rajiv Kumar has voiced concerns over this phenomenon.

Despite the Centre's strict adherence to fiscal deficit targets in the previous years and Prime Minister Narendra Modi questioning the freebie culture—especially after the debt crisis in neighbouring Sri Lanka—economists remain wary about higher government spending ahead of the General Elections in 2024, although for now it seems that the central government's fiscal deficit goal of 5.9 per cent of GDP will be met and it will remain conservative in its spending. "Competitive populism has remained a dominant theme in state elections, not just with the Congress, but also the BJP," brokerage Nomura has highlighted in a recent report.

Investors were worried that a poor showing by the BJP in the state polls would increase the risk of more fiscal populism, the Nomura report says, adding that a BJP victory across most states does not necessarily reduce the likelihood of competitive populism recurring as a dominant theme in the 2024 General Elections.

Experts also note that often the exact fiscal impact of election-time promises on taxpayers may only be felt after about 12-18 months of the government being formed, by when the schemes have been fully implemented. Though the cost of such promises is often hard to gauge, a recent report by SBI Ecowrap on the Arithmetic of the Karnataka Budget estimated that almost ₹60,000 crore annually would be required to fulfil the

ON OFFER: A R

CONGRESS	BJP
● ANNUAL HONORARIUM OF ₹10,000 TO WOMEN HEADS OF FAMILIES	● SUBSIDY OF ₹450 PER LPG CYLINDER FOR PMUY BENEFICIARIES
● COOKING GAS CYLINDER AT ₹500	● SAVINGS BOND OF ₹2 LAKH ON THE BIRTH OF A GIRL CHILD
● LAPTOP OR TABLET TO STUDENTS TAKING ADMISSION IN GOVERNMENT COLLEGES	● ARRANGEMENT TO PROCURE WHEAT AT ₹2,700 PER QUINTAL, INCLUDING BONUS ABOVE MSP, WILL BE MADE
● INSURANCE COVER UP TO ₹15 LAKH PER FAMILY AGAINST NATURAL CALAMITY	● HIGHER FINANCIAL ASSISTANCE OF ₹12,000 PER YEAR UNDER PM KISAN SAMMAN NIDHI SCHEME

CONGRESS	BJP
● ₹2,000 MONTHLY ASSISTANCE TO WOMEN HEADS OF ALL FAMILIES (GRUHA LAKSHMI)	● THREE FREE COOKING GAS CYLINDERS EVERY YEAR
● 200 UNITS OF FREE POWER TO ALL HOUSEHOLDS (GRUHA JYOTI)	● ATAL AAHARA KENDRAS TO BE SET UP IN EVERY MUNICIPAL CORPORATION FOR HEALTHY, AFFORDABLE FOOD
● ₹3,000 EVERY MONTH FOR GRADUATE YOUTH AND ₹1,500 FOR DIPLOMA HOLDERS (YUVA NIDHI)	● POSHANE SCHEME UNDER WHICH EVERY BPL FAMILY TO GET HALF A LITRE OF NANDINI MILK EVERY DAY, AND SHRI ANNA-SIRIDHANYA (MILLETS) THROUGH MONTHLY RATION KITS
● 10 KG RICE PER PERSON PER MONTH (ANNA BHAGYA YOJANA)	● MATCHING DEPOSIT OF UP TO ₹10,000 ON FIVE-YEAR FIXED DEPOSITS MADE UNDER A NEW SCHEME BY WOMEN OF SC/ST HOUSEHOLDS
● FREE TRAVEL FOR WOMEN IN STATE PUBLIC TRANSPORT BUSES (SHAKTI)	● CAREER SUPPORT FOR ASPIRATIONAL YOUTH WITH FINANCIAL SUPPORT FOR COACHING FOR IAS/KAS, BANKING AND GOVERNMENT JOBS